



Is AI the new corporate monitor? Evidence from excessive on-the-job consumption

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ABSTRACT

Excessive on-the-job consumption (EOJC) represents a manifestation of corporate agency problems that ultimately undermines firm value. As artificial intelligence (AI) applications permeate various aspects of corporate operations, this study examines AI's impact on EOJC. Analyzing 2788 Chinese manufacturing firms (2007–2022), we find AI implementation significantly reduces EOJC by dissolving hierarchical information barriers to enhance governance quality and curbing managerial discretion through algorithm-driven decision protocols. Further analysis reveals that AI exerts stronger governance effects in highly competitive industries by augmenting existing market discipline mechanisms, while synergizing with information-transparent firms to amplify monitoring efficacy. These findings reveal AI's potential for institutional transformation in corporate governance systems.

1. Introduction

Within modern corporate governance frameworks, excessive on-the-job consumption (EOJC) emerges as a quintessential manifestation of principal-agent problems, directly escalating agency costs (Gul et al., 2011) while systematically eroding organizational value through financial misconduct (Xu et al., 2014) and distorted resource allocation (Cai et al., 2011). Classical agency theory posits that unchecked managerial power enables the expropriation of positional privileges for private gain (Jensen and Meckling, 1976), a phenomenon exacerbated in firms with opaque information environments and deficient monitoring mechanisms (Yalamov and Belev, 2002). Of particular concern in high-tech industries is executives' strategic manipulation of technological trajectories and covert collusion with preferred suppliers to secure excess consumption opportunities. Such practices - where managerial perquisites transcend operational necessities to maximize self-interest (Gen and Wang, 2016)-jeopardize the cultivation of core competitive advantages. While prior studies have explored governance mechanisms spanning board oversight (Zhang and Pan, 2009), institutional investor monitoring (Li et al., 2012), and market-oriented reforms (Xin and Tan, 2009) to erect "firewalls" against covert rent-seeking, these conventional approaches now confront the transformative potential of Artificial

intelligence (AI). As algorithmic systems revolutionize corporate monitoring through real-time data analytics and autonomous execution, our central inquiry becomes: Can AI overcome traditional oversight limitations to fundamentally reshape the constraints on executive opportunism?

The pervasive integration of AI technologies into corporate ecosystems is fundamentally reconfiguring governance architectures. From a monitoring perspective, AI enables behavioral transparency through real-time data analytics (Gao and Liu, 2018), employs predictive algorithms for reputation risk mitigation (Hirsch, 2018), and facilitates decentralized authority structures via blockchain-enabled autonomous organizations (Murray et al., 2021). At the executive level, AI decision algorithms restrict managerial discretion over critical resources (Chen et al., 2020), while smart contracts' self-executing protocols minimize discretion-induced rent extraction (Duan et al., 2019). Most significantly, AI-powered audit systems overcome the inherent delays in conventional oversight (Issa et al., 2016), fundamentally altering the supervisor-supervisee dynamic. Nevertheless, extant literature exhibits fragmented understanding of AI's governance implications: Micro-level analyses predominantly treat AI as a technical instrument for decision automation (e.g., Duan et al., 2019), neglecting its potential as a "digital monitor" to constrain implicit agency costs. Meanwhile, macro-level

AbstractThis study examines how artificial intelligence mitigates executive excessive on-the-job consumption by enhancing corporate governance and constraining managerial discretion, with effects amplified in competitive and transparent firms. Findings underscore AI's institutional role in modern corporate governance.

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